

Remedy offer – 29 July 2026: Journey Beyond (EAG) – SeaLink Rottnest

MN-50011

Summary

On 1 July 2026, Experience Australia Group (**EAG**) lodged a notification with the ACCC in respect of its proposed acquisition of Vyscot Pty Ltd (**Vyscot**) (the **Proposed Acquisition**). Both EAG, through its business Rottnest Express (**REX**), and Vyscot, through its business SeaLink Rottnest, operate passenger ferries from Fremantle and Perth to Rottnest Island.

To address possible competition concerns that the ACCC may have in relation to ferry services to Rottnest Island as a result of the Proposed Acquisition, EAG is proposing to offer a remedy in the form of an undertaking pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth) (**Undertaking**).

The Undertaking intends to address potential competition concerns that may otherwise arise as a consequence of the Proposed Acquisition by placing obligations on EAG to:

- maintain a minimum level of service frequency for point-to-point ferry services from Perth and Fremantle to Rottnest Island, including by operating:
 - an average minimum number of daily services;
 - guaranteed morning/evening services for commuters;
 - a minimum number of morning services to Rottnest Island during peak times;
 - a guaranteed late night service from Rottnest Island during peak season,and provide the Rottnest Island Authority (**RIA**) a reasonable opportunity to provide input into the seasonal timetables for ferry services;
- maintain reasonable pricing for visitors to Rottnest Island by capping the price of the majority of fare types (with annual CPI increases);
- invest in the ferry fleet to support growth in visitor numbers to Rottnest Island;
- forfeit berthing slots at Fremantle B Shed in the event that a new entrant operator requires slots that are otherwise unavailable; and
- monitor compliance with the obligations via the appointment of an independent auditor approved by the ACCC.

A draft form of the Undertaking is attached.

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and
Consumer Act 2010* by
Experience Australia Group Pty Ltd ACN 614 713 003

[DRAFT 29 July 2026]

• Confidential to EAG (to be redacted before publication)

1. Persons giving the Undertaking

This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Experience Australia Group Pty Ltd ACN 614 713 003 (**EAG**).

The parties to the Proposed Transaction

- 1.1 EAG's wholly-owned subsidiaries operate Rottnest Express (**REX**) which provides passenger ferry services to Rottnest Island in Western Australia from Barrack Street Jetty (Perth), Fremantle B Shed and Northport (Rous Head).
- 1.2 Vyscot Pty Ltd (ACN 009 241 972) (**Vyscot**), a wholly-owned subsidiary of Kelsian Group Limited (ACN 109 078 257) (**Kelsian**), operates businesses in Western Australia, including providing passenger ferry services to Rottnest Island from Barrack Street Jetty and Fremantle B Shed under the name "SeaLink Rottnest".

The Proposed Acquisition

- 1.3 EAG and Kelsian (together the **Parties**) have entered into a share sale agreement under which EAG will acquire all of the issued share capital in Vyscot from Kelsian (the **Proposed Acquisition**).

The Notification

- 1.4 On 1 July 2026, EAG lodged a notification in respect of the Proposed Acquisition with the ACCC (**Notification**).
- 1.5 The ACCC has expressed a preliminary concern that the Proposed Acquisition could have the effect or likely effect of substantially lessening competition in the market for the supply of ferry services between mainland Australia and Rottnest Island, and as a result EAG could:
 - (a) increase prices;
 - (b) reduce the quality of the service provided; and/or
 - (c) worsen the terms offered to commuters and other passengers.

The Undertaking Objective

- 1.6 The objective of this Undertaking is to address the ACCC's concerns as set out in clause 1.5 by requiring EAG to commit to:
 - (a) operating a minimum number of ferry services to Rottnest Island each day, including operating at particular times to support commuter travel and visitors during peak periods;
 - (b) capping price increases for Point-to-Point Services, Commuter Fares and freight services to no more than CPI;
 - (c) providing notice of proposed annual price changes and seasonal timetable changes to the RIA and taking account of any feedback before publishing revised prices and timetables;

- (d) providing the same Contracted Rates to all accommodation providers on Rottnest Island and continuing to provide Contracted Rates to Third Party Tourism Providers;
- (e) forfeiting berthing slots at the Fremantle B Shed Common User Berths in the event that a new entrant enters into binding arrangements to offer a ferry service to Rottnest Island in a situation where there are not slots available; and
- (f) implementing effective mechanisms for the ongoing monitoring, compliance, and enforcement of any compliance issues with the Undertaking.

2. Commencement

Commencement

This Undertaking comes into effect when it is:

- 2.1 executed by EAG; and
- 2.2 accepted by the ACCC.

(the **Commencement Date**).

3. Cessation of Ongoing Obligations

Withdrawal

- 3.1 EAG may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is to be taken to be withdrawn on the date that the ACCC consents in writing to that withdrawal or variation.

Revocation

- 3.2 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 3.3 The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or extend the date by which any such obligation is to be satisfied.

4. Service Obligations

Minimum Daily Services

- 4.1 EAG must maintain the Minimum Daily Service Levels for Point-to-Point Services as set out in Schedule 2 unless EAG is unable to operate the relevant services for the reasons set out in clause 2.3 of Schedule 2.

Commuter Services

- 4.2 EAG will operate the Commuter Services as set out in Schedule 2 unless EAG is unable to operate the relevant services for the reasons set out in clause 2.3 of Schedule 2.

Peak Day Services

- 4.3 On Peak Days, EAG will operate the Minimum Peak Day Services as set out in Schedule 2, unless EAG is unable to operate the relevant services for the reasons set out in clause 2.3 of Schedule 2.

Late Night Service

- 4.4 EAG will operate a Late Night Service in accordance with clause 5.1 of Schedule 2.

Timetable Publication

- 4.5 EAG will provide a copy of its indicative Seasonal Timetables for Point-to-Point Services one month in advance of publishing the timetable publicly to the following parties:
- (a) the RIA; and
 - (b) the Independent Auditor.
- 4.6 EAG will provide the RIA with the opportunity to provide feedback on each Seasonal Timetable prior to publication and take account of that feedback when finalising the Seasonal Timetable.
- 4.7 EAG will retain the ability to adjust the timetable for operational reasons, subject to the obligations set out in clauses 4.15.1 to 4.45.5. EAG will provide a record of timetable changes for each Seasonal Timetable to the Independent Auditor.

5. Pricing Obligations

Point-to-Point Service Pricing

- 5.1 From the Control Date, EAG will offer fares for Point-to-Point Services in accordance with Schedule 3.
- 5.2 EAG:
- (a) may increase the fares for Point-to-Point Services annually; and
 - (b) will not increase the minimum and maximum fares for Point-to-Point Services by more than CPI,
- save for the exceptions set out in Schedule 3.

Commuter Fare and Freight Pricing

5.3 EAG will offer:

- (a) Commuter Fares; and
- (b) Freight Services

at the rates set out in Schedule 3.

5.4 EAG:

- (a) may increase the rates for Commuter Fares and Freight Services annually; and
 - (b) will not increase the rates by more than CPI,
- save for the exceptions set out in Schedule 3.

Tourism Provider Pricing

- 5.5 EAG will offer the same Contracted Rates to all Accommodation Providers on Rottneest Island for use at their discretion for external sales and package offers. The Contract Rates for Accommodation Providers will be set annually and will be provided in writing to accommodation providers 2 months in advance of the rate coming into effect.
- 5.6 EAG currently offers Contracted Rates to Third Party Tourism Providers. These rates may vary between providers. EAG will continue to offer Contracted Rates to Third Party Tourism Providers. EAG will provide details of the rates offered and sales made to Third Party Tourism Providers to the Independent Auditor.

Fare Review

- 5.7 EAG will provide notice of the proposed annual price increases 2 months in advance of the price increase coming into effect to the following parties:
- (a) the RIA; and
 - (b) the Independent Auditor.

6. Fleet Investment Obligations

- 6.1 On or before 31 December 2030, EAG will add a New Vessel to the fleet of vessels that EAG regularly uses to provide the Point-to-Point Services.
- 6.2 Within 5 years of the date that EAG adds a New Vessel pursuant to clause 6.1, EAG will add a second New Vessel to the fleet of vessels that EAG regularly uses to provide the Point-to-Point Services.

7. Berth Access Obligations

Access at Fremantle B Shed

- 7.1 If a third party operator (**New Entry Operator**) requests berthing slots at the Fremantle B Shed Common User Berths to provide ferry services to Rottnest Island and there are none available, EAG will forfeit slots at the Common User Berth in accordance with Schedule 4.
- 7.2 EAG will not enter into an agreement with the FPA to expand access to exclusive berths beyond the access agreements in place (including agreements assigned to EAG subject to the Proposed Acquisition) as at the Control Date.

8. New Entry Operator

- 8.1 EAG's obligations under this Undertaking will terminate in the event that a New Entry Operator begins operating passenger ferry services from the Departure Locations to Rottnest Island, where those services exceed the New Entry Operator Threshold.
- 8.2 The New Entry Operator Threshold will be [set in consultation with the ACCC].

9. Independent Audit

Obligation to appoint an Approved Independent Auditor

- 9.1 EAG must appoint and maintain an Approved Independent Auditor to audit and report upon EAG's compliance with this Undertaking.

Process for approving a Proposed Independent Auditor

- 9.2 At least 15 Business Days before the Control Date, EAG must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 5 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 9.3 The Approved Independent Auditor is to be appointed for the Term of the Undertaking.
- 9.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 9.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
 - (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of EAG;

- (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
- (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

Appointment of the Approved Independent Auditor

9.6 After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and the draft audit plan, EAG must by the Control Date:

- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment and the Approved Audit Plan.

Failure to appoint

9.7 If:

- (a) the Approved Independent Auditor has not been appointed by the Control Date;
- (b) the Approved Independent Auditor has not been appointed within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor; or
- (c) the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 9.2,

then clause 9.8 applies.

9.8 If this clause 9.8 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
- (b) direct EAG to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

Obligations and powers of the Approved Independent Auditor

9.9 EAG must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:

- (a) maintain his or her independence from EAG, apart from appointment to the role of Approved Independent Auditor, including not forming any relationship of the types described in Schedule 5 to this Undertaking with EAG for the period of his or her appointment;
- (b) conduct compliance auditing according to the Approved Audit Plan;

- (c) conduct any Ad Hoc Investigation in accordance with clause 9 of this Undertaking;
- (d) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 9.11; and
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking;
 - (iii) any Audit Reports following completion of an Ad Hoc Investigation; and
- (e) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

9.10 EAG must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:

- (a) access the facilities, sites or operations of EAG as required by the Approved Independent Auditor;
- (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
- (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

9.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:

- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
- (b) a full audit of EAG's compliance with this Undertaking;
- (c) identification of any areas of uncertainty or ambiguity in the Approved Independent Auditor's interpretation of any obligations contained in this Undertaking;
- (d) all of the reasons for the conclusions reached in the Audit Report;
- (e) any qualifications made by the Approved Independent Auditor in forming his or her views;

- (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) EAG's processes or reporting systems in relation to compliance with this Undertaking; and
 - (iv) EAG's compliance with this Undertaking; and
- (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.

10. Ad Hoc Investigation

- 10.1 Any person who has any concern regarding EAG's compliance with this Undertaking may at any time, request in writing (via email or post using the contact details for the Approved Independent Auditor published in accordance with clause 10) that he or she investigate the relevant concern (an **Ad Hoc Investigation**).
- 10.2 A person requesting an Ad Hoc Investigation may request that their request be kept confidential from EAG, in which case the Approved Independent Auditor will maintain the confidentiality of their identity in any correspondence with EAG, and in the publication of any findings.
- 10.3 The Approved Independent Auditor may commence an Ad Hoc Investigation at any time, on their own initiative, if they have reason to believe that EAG has engaged in conduct that does not comply with this Undertaking.
- 10.4 The Approved Independent Auditor, at its absolute discretion, may determine whether to commence an Ad Hoc Investigation and the manner in which it is undertaken. For clarity, and without limiting the Approved Independent Auditor's absolute discretion, the Approved Independent Auditor may determine not to undertake an investigation in circumstances where the Approved Independent Auditor determines that:
 - (a) the matters which are the subject of the request have already been investigated or otherwise considered by the Approved Independent Auditor (including in any earlier Audit Report) and require no further consideration; or
 - (b) the subject matter of the request is trivial, vexatious, misconceived, or not made in good faith.
- 10.5 A person may at any time withdraw a request for an Ad Hoc Investigation by notifying the Approved Independent Auditor in writing, in which case the requirement for the Approved Independent Auditor to investigate ceases.
- 10.6 At the conclusion of an Ad Hoc Investigation, the Approved Independent Auditor may disclose their findings to the ACCC, the person who lodged the concern and the Undertaking Parties. This may take the form of publication of any findings:

- (a) as part of a regular annual Audit Report;
 - (b) in a separate audit report (**Ad Hoc Audit Report**); or
 - (c) a separate report provided only to the person who lodged the concern as well as to EAG (subject to any protection of the identity of the complainant and any confidential information).
- 10.7 EAG will be responsible for the Approved Independent Auditor's reasonable costs of:
- (a) undertaking any Ad Hoc Investigation; and
 - (b) work undertaken to determine whether to conduct an Ad Hoc Investigation, including any costs incurred by the Approved Independent Auditor in engaging any external expertise, assistance or advice required to consider the request or to undertake the investigation and to prepare and publish his or her findings.
- 10.8 The Approved Independent Auditor must disclose the outcome of any Ad Hoc Investigation to the ACCC within 10 Business Days of the conclusion of their Ad Hoc Investigation. However, unless requested by the ACCC, the Approved Independent Auditor will not be required to comply with this sub-clause if they make a determination not to conduct an Ad Hoc Investigation in accordance with clause 10.4.

11. Approved Independent Auditor Reporting

- 11.1 The Approved Independent Auditor is to provide an Audit Report to the ACCC and EAG at the following times:
- (a) within two months after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);
 - (b) every 12 months after the date of provision of the last Audit Report; and
 - (c) if the Approved Independent Auditor elects to publish an Ad Hoc Audit Report, within 10 Business Days of completion of any Ad Hoc Investigation.
- 11.2 EAG must implement any recommendations made by the Approved Independent Auditor in Audit Reports or Ad Hoc Audit Reports, and notify the ACCC of the implementation of the recommendations within 10 Business Days after receiving the Audit Report or Ad Hoc Audit Report such other period as agreed in writing with the ACCC.
- 11.3 EAG must comply with any direction of the ACCC in relation to matters arising from the Audit Report or Ad Hoc Audit Report within 10 Business Days after being so directed, or such other period as agreed in writing with the ACCC.

12. EAG's obligations in relation to the Approved Independent Auditor

12.1 Without limiting its obligations in this Undertaking, EAG must:

- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
- (b) maintain and fund the Approved Independent Auditor to carry out his or her functions, including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor; and
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
- (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing EAG personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 12;
 - (ii) providing access to the facilities, sites or operations of EAG's business as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
 - (v) not appointing the Approved Independent Auditor, or having any agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

13. Resignation, revocation or termination of the Approved Independent Auditor

- 13.1 EAG must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 13.2 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it in connection with the appointment of the Approved Independent Auditor was incorrect, inaccurate or misleading.
- 13.3 The ACCC may approve any proposal by, or alternatively may direct, EAG to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking and/or the Approved Terms of Appointment or the Approved Independent Auditor fails to perform their role to an adequate standard.

14. ACCC Review

Review Process

- 14.1 The ACCC may, after the second anniversary of the Control Date and thereafter not more than once in any five year period, review the terms of this Undertaking to consider whether any more changes to the terms of this Undertaking are necessary given the Undertaking Objective.
- 14.2 On deciding to conduct a review pursuant to clause 14.1, the ACCC may invite submissions from EAG, the RIA, Third Party Tourism Providers and other parties with an interest in whether any changes to the terms of this Undertaking are necessary in order to ensure that this Undertaking continues to achieve the Undertaking Objective.
- 14.3 The factors to which the ACCC may have regard in making a decision whether to conduct a review pursuant to clause 14.1 or in conducting the review, include but are not limited to:
 - (a) the Audit Reports prepared by the Approved Independent Auditor in accordance with clause 11;
 - (b) the outcomes of any Ad Hoc Investigations undertaken in accordance with clause 10;
 - (c) any change in circumstances since the Commencement Date or the last review conducted pursuant to clause 14;
 - (d) any complaints made to the ACCC regarding EAG's compliance with this Undertaking and the outcomes of any subsequent investigations;
 - (e) whether there has been a material change in the market conditions since the commencement of the Undertaking or when the Undertaking was last reviewed;

- (f) whether the obligations in the Undertaking continue to be clear, unambiguous, and relevant; and
- (g) whether the Approved Independent Auditor function is working effectively, and the compliance and monitoring burden on the ACCC.

Amendment Notice

14.4 Following a review conducted in accordance with clauses 14.1, 14.2 and 14.3, if the ACCC is satisfied that a variation is necessary to ensure that the Undertaking continues to achieve the Undertaking Objective, the ACCC may give EAG an amendment notice (**Amendment Notice**) which sets out any changes that the ACCC considers should be made to the Undertaking and an explanation for those changes. The ACCC will, subject to removing any confidential information of the Undertaking Parties or any other person;

- (a) publish the Amendment Notice on the ACCC's website;
- (b) give a copy of the Amendment Notice to any relevant Port Manager; and
- (c) publicly consult on the Amendment Notice.

Proposed Variations to this Undertaking following ACCC review

14.5 Following any consultation on the Amendment Notice, if the ACCC decides that changes to this Undertaking are necessary in order to ensure that the Undertaking continues to achieve the Undertaking Objective, the ACCC will provide EAG with a notice setting out the terms of a variation to the Undertaking which is acceptable to the ACCC (**Variation Notice**).

14.6 EAG must:

- (a) consult in good faith with the ACCC with a view to proposing variations to this Undertaking which will address the matters stated in the Variation Notice; and
- (b) notify the ACCC within 90 days of receiving a Variation Notice if they agree to seek a variation to the Undertaking:
 - (i) in the form set out in the Variation Notice; or
 - (ii) in a form agreed between the ACCC and EAG following the consultations undertaken in accordance with clause 14.6(a).

14.7 If EAG notifies the ACCC that it agrees to seek a variation to the Undertaking in accordance with clause 14.6, at the same time, EAG must provide a proposed variation to the Undertaking to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act.

Referral to Expert Determination

- 14.8 If EAG does not agree to seek a variation to this Undertaking in accordance with clause 14.6 (**Variation Dispute**), they must provide a written notice to the ACCC of the Variation Dispute.
- 14.9 The written notice of the Variation Dispute must include:
- (a) written reasons explaining why the Undertaking Parties do not propose to seek a variation to the Undertaking;
 - (b) the identity of a proposed independent expert who will be appointed to conduct the expert determination (**Proposed Independent Expert**); and
 - (c) details of the Proposed Independent Expert's relevant qualifications and experience necessary to carry out the expert determination independently of EAG; and
 - (d) whether the Proposed Independent Expert has been:
 - (i) an employee or officer of EAG, whether current or in the past 5 years;
 - (ii) a professional adviser of EAG, whether current or in the past 5 years;
 - (iii) a person who has a contractual relationship with EAG; or
 - (iv) an employee or contractor of a firm or company referred to in clause 14.9(iii),
- (a **Variation Dispute Notice**).
- 14.10 Within 10 Business Days of EAG providing a Variation Dispute Notice to the ACCC, the ACCC will provide written notice to EAG informing EAG of its decision to agree or not agree to the Proposed Independent Expert identified pursuant to clause 14.9(b).
- 14.11 If EAG and the ACCC cannot agree on an independent expert to be appointed to determine the Variation Dispute within 20 Business Days of EAG providing a Variation Dispute Notice to the ACCC, then the President of the Western Australian Bar Association will determine the identity of the independent expert and the Variation Dispute will be referred to that independent expert for determination.
- 14.12 The cost of the independent expert will be borne by the Undertaking Parties.
- 14.13 The ACCC and the Undertaking Parties will agree the terms of appointment of the independent expert.
- 14.14 EAG will use best endeavours to ensure that the independent expert is provided with:
- (a) all relevant information available to the EAG in relation to the Variation Dispute; and

- (b) all reasonable assistance, in a timely manner, to enable the expert to make a determination in relation to the Variation Dispute Notice within 60 Business Days of referral to that expert.
- 14.15 The independent expert will decide whether the ACCC's proposed variation to the Undertaking as set out in the Variation Notice is necessary to ensure that the Undertaking continues to meet the Undertaking Objective.
- 14.16 If the independent expert decides that the ACCC's proposed variation to the Undertaking as set out in the Variation Notice (with such minor modifications as the expert considers necessary) is necessary to ensure that the Undertaking continues to meet the Undertaking Objective, EAG must proffer a proposed variation in accordance with the ACCC's proposed variation, to the ACCC, for the purpose of seeking the ACCC's consent in accordance with section 87B(2) of the Act, within 5 Business Days of the independent expert's decision.
- 14.17 If the independent expert decides that a variation is necessary to ensure that the Undertaking continues to meet the Undertaking Objective, but this variation differs materially from the ACCC's proposed variation, EAG must proffer a proposed variation in accordance with the independent expert's proposed variation, to the ACCC, for the purpose of seeking the ACCC's consent in accordance with section 87B(2) of the Act within 5 Business Days of the independent expert's decision. The ACCC may in its complete discretion decide whether or not to consent to the variation proffered by the Undertaking Parties.
- 14.18 If the independent expert decides that a variation is not necessary to ensure that the Undertaking continues to meet the Undertaking Objective, the ACCC's Variation Notice lapses.
- 14.19 The independent expert's decision will be final and binding on EAG and the ACCC and they must take all steps to ensure that the independent expert's decision is fulfilled or otherwise given effect.
- 14.20 Nothing in this clause 14 prevents the ACCC from investigating a potential breach of this Undertaking or from applying to the Court for orders pursuant to section 87B of the Act in respect of a breach of this Undertaking at any time.

15. Notification of key dates and ACCC requests for information

- 15.1 EAG must notify the ACCC in writing of:
 - (a) the anticipated date of the Control Date, at least five Business Days before that date; and
 - (b) the occurrence of the Control Date, within one Business Day of that date.

- 15.2 The ACCC may direct EAG in respect of its compliance with this Undertaking and EAG must:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC; and / or
 - (b) produce documents and materials to the ACCC within EAG's custody, power or control in the time and in the form requested by the ACCC.

16. Disclosure of this Undertaking

- 16.1 Within 5 Business Days of the Commencement Date, EAG will publish a copy of this Undertaking on its website.
- 16.2 EAG acknowledges that the ACCC may:
- (a) make this Undertaking publicly available, including but not limited to publishing it on its Public Section 87B Undertakings Register; and
 - (b) from time to time publicly refer to this Undertaking.
- 16.3 Nothing in this clause 16 prevents the ACCC from disclosing such information where disclosure is:
- (a) required by law;
 - (b) permitted by section 155AAA of the Act;
 - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 16.4 Nothing in this clause 16 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

17. Obligation to Procure

- 17.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of EAG to take or refrain from taking some action, EAG will procure that Related Body Corporate to take or refrain from taking that action.
- 17.2 As soon as practicable after the Commencement Date, EAG must direct its personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with EAG's obligations under this Undertaking.

- 17.3 EAG must ensure that any Related Body Corporate provides all necessary assistance and information so that EAG is in a position to comply with any:
- (a) direction from the ACCC under clause 15;
 - (b) request from the Approved Independent Auditor in accordance with clause 9,
- for the purposes of the ACCC or the Approved Independent Auditor (as applicable) investigating EAG's compliance with the Undertaking.

18. No Derogation

- 18.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by EAG of any term of this Undertaking.
- 18.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that EAG does not fully implement and / or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

19. Change of Control of EAG's business

- 19.1 In the event that a Change of Control is reasonably expected to occur before the withdrawal of this Undertaking in accordance with clause 3.1, EAG must:
- (a) notify the ACCC of this expectation; and
 - (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on EAG pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified EAG in writing that a section 87B undertaking under this clause is not required.

20. Costs

EAG must pay all of its own costs incurred in relation to this Undertaking.

Executed as an undertaking

Executed by Experience Australia Group Pty Ltd (ACN 614 713 003) pursuant to section 127(1) of the *Corporations Act 2001* (Cth) by.

Signature of director
secretary

Signature of director/company

(Please delete as applicable)

Name of director (print)
secretary (print)

Name of director/company

Date

Date

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth) on.

Date

And signed on behalf of the Commission:

Chair

Date

Schedule 1 Dictionary

1. Dictionary

ACCC means the Australian Competition and Consumer Commission.

Accommodation Providers means businesses that operate accommodation services on Rottnest Island.

Act means the Competition and Consumer Act 2010 (Cth).

Ad Hoc Investigation has the meaning given in clause 9.

Ad Hoc Audit Report has the meaning given in clause 10.6.

Amendment Notice has the meaning given in clause 14.4.

Approved Independent Auditor means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

Approved Audit Plan means the audit plan approved by the ACCC in accordance with clause 9.6.

Approved Independent Expert means the person approved by the ACCC and appointed under clause 14 of this Undertaking.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Auditor approved by the ACCC in accordance with clause 9.6

Audit Report has the meaning given in clause 9.11 of this Undertaking.

Barrack Street Jetty means the berths located at Elizabeth Quay in Perth.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in Western Australia.

Change of Control means:

- the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of EAG to any other person or entity that may impact compliance with this Undertaking in its entirety; or
- the sale or transfer of any assets necessary, or which may be necessary, to enable EAG to continue to comply with this Undertaking in its entirety.

Commencement Date means the date described in clause 2.1 of this Undertaking.

Common User Berths refers to berths at Victoria Quay, Fremantle that are not exclusively leased and where berthing slots are available to ferry operators subject to approval and availability as determined by the FPA. This includes FT2 (O'Connor Landing) and the proposed FT3 berth.

Commuter Fares has the meaning given in Schedule 3.

Commuter Services has the meaning given in Schedule 2.

Contracted Rate means the rates offered to third parties by agreement with EAG, including discounted rates for Point-to-Point Service Fares.

Control Date means the date on which the Proposed Acquisition is completed.

CPI means the percentage change in the value of the “all Groups CPI Group by Capital City” index number for Perth, published by the Australian Bureau of Statistics or an index that replaces it for the most recent quarter compared with the index number for the same quarter twelve months prior (as revised).

Departure Locations means each of the following locations from which EAG operates ferry services to Rottnest Island: B Shed, Northport and Barrack St Jetty.

Entity Connected has the meaning given to it in section 64B of the Corporations Act.

Establishment Audit has the meaning given in clause 11.1.

Freight Pricing refers to the standard price charged for the luggage and other freight items set out in Schedule 3 for carriage on EAG vessels to and from Rottnest Island.

Freight Services refers to transporting luggage and other freight items to and from Rottnest Island.

Fremantle B Shed means berths and ferry terminal located at B Shed, Victoria Quay, Fremantle.

FPA means Fremantle Port Authority.

Group Booking means bookings made by social, corporate or school groups of more than 10 passengers that may be subject to a group discount.

Minimum Daily Service Levels has the meaning in Schedule 2.

Northport means the Northport ferry terminal located at Rous Head.

New Vessel means a vessel purchased by EAG for the purpose of operating the Point-to-Point Services that is not more than [X] years old at the time it commences operations and has a capacity for at least [X] passengers.

New Entry Operator has the meaning in clause 7.1 of this Undertaking.

New Entry Operator Threshold [to be set in consultation with the ACCC]

Peak Days means Saturdays and Sundays in October to April.

Point-to-Point Services has the meaning given in Schedule 2.

Point-to-Point Service Fares has the meaning given in Schedule 3.

Premium Services has the meaning given in Schedule 3.

Proposed Acquisition is defined in clause 1.3 of this Undertaking.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Reference Month Price has the meaning given in clause 5 of Schedule 3.

Related Bodies Corporate has the meaning given to it in section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

RIA means the Rottnest Island Authority.

Rottnest Island Admission Fee means the admission fee charged by RIA for each visitor to Rottnest Island.

Seasonal Timetable means the Summer Timetable and the Winter Timetable.

Special Event Services has the meaning given in Schedule 3.

Subsidiary has the meaning given by section 9 of the Corporations Act.

Summer Timetable means the schedule for passenger ferry services operated by EAG to Rottnest Island from the Departure Locations (including the Point-to-Point Services) for the months October to April

Temporary Price Adjustment has the meaning given in clause 5 of Schedule 3.

Third Party Tourism Providers means wholesale and retail suppliers of travel, accommodation and tourism services that are not a Related Entity of EAG.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Variation Dispute has the meaning given in clause 14.8.

Variation Dispute Notice has the meaning given in clause 14.9.

Variation Notice has the meaning given in clause 14.5.

Winter Timetable means the timetable means the schedule for passenger ferry services operated by EAG to Rottnest Island from the Departure Locations (including the Point-to-Point Services) for the months May to September.

Schedule 2 Service obligations

1. Point-to-Point Services

Point-to-Point Services

- 1.1 The Point-to-Point Services include ferry services operated by EAG from the Departure Locations to Rottnest Island (and departure from Rottnest Island to those locations).
- 1.2 The Point-to-Point Services do not include:
- (a) services operated by EAG to and from Rottnest Island that include hospitality offerings (**Premium Services**);
 - (b) services operated by EAG to and from Rottnest Island for special events or chartered by agreement with third parties (**Special Event Services**); or
 - (c) services operated on Christmas Day.

2. Minimum Daily Service Levels

- 2.1 EAG must maintain the following Minimum Daily Service Levels for Point-to-Point Services from the Departure Locations to Rottnest Island each quarter:
- (a) January to March: 16 services;
 - (b) April to June: 13 services;
 - (c) July to September: 12 services; and
 - (d) October to December: 16 services.

The Minimum Daily Services Levels are to be calculated as an average of all Point-to-Point Services from the Departure Locations to Rottnest Island operated by EAG in each relevant quarter.

- 2.2 Vessels that make stops at multiple Departure Locations will only be counted once for the purposes of calculating the Minimum Daily Service Levels.
- 2.3 EAG will not be in breach of its obligations to maintain the Minimum Daily Service Levels where its ability to operate the relevant services is prevented by:
- (a) weather events that prevent the operation of ferry services to or from Rottnest Island;
 - (b) mechanical, safety or other events that prevent an EAG vessel from operating when EAG would normally expect that vessel to be operational that could not have been reasonably foreseen by EAG; or
 - (c) limitations or prohibitions on access to Rottnest Island implemented by the RIA, the Western Australian State Government or any other relevant state or

federal government body, including where suitable berthing slots required to maintain the Minimum Daily Service Levels are not reasonably available to EAG on Rottnest Island for reasons outside of EAG's control.

3. Commuter Services

- 3.1 EAG will operate the following Point-to-Point Services every day (the **Commuter Services**):
- (a) at least one service between 7 am and 7.30 am departing from Fremantle B Shed to Rottnest Island;
 - (b) a 4 pm and a 4.30 pm service departing from Rottnest Island to Fremantle B Shed.
- 3.2 The Commuter Services may form part of and are not in addition to the services that must be provided subject to clause 2.1 of Schedule 2.

4. Minimum Peak Day Services

- 4.1 On Peak Days, EAG will operate at least 7 Point-to-Point Services between 7 am and 11 am (the **Minimum Peak Day Services**).
- 4.2 The Minimum Peak Day Services may depart from any of the Departure Locations.
- 4.3 The Minimum Peak Day Services may form part of and are not in addition to the services that must be provided subject to clause 2.1 and clause 3.1 of Schedule 2.

5. Late Night Services

- 5.1 EAG will operate a Point-to-Point Service that departs Rottnest Island to Fremantle B Shed at 9 pm on the following days:

Period	Days of the Week
01 November to 31 January	Thursday to Sunday
01 February to 30 April or the last day of Easter Western Australia School Holidays (whichever is earlier)	Friday to Sunday

- 5.2 The Late Night Services may form part of and are not in addition to the services that must be provided subject to clause 2.1 of Schedule 2.

6. Service Times

- 6.1 Where EAG is obligated to operate a service at a specified time under this Schedule 2, EAG will not be in breach of the obligation where that service departs later than the specified time for reasons beyond EAG's control.

Schedule 3 Pricing obligations

1. Point to Point Service Fares

- 1.1 Fares for Point-to-Point Services (**Point-to-Point Service Fares**) will be offered within the maximum and minimum as set out in clause 1.4 of Schedule 3, with the following requirements:
- (a) a minimum of 20% of total seats on each Point-to-Point Service will be offered at the minimum fare or lower;
 - (b) a maximum of 20% of total seats on each Point-to-Point Service will be offered at the maximum fare; and
 - (c) the balance of seats will be offered between the minimum and maximum, but will be at least 5% lower than the maximum fare.
- 1.2 The requirements in clause 1.1 of Schedule 3 do not apply to Group Bookings.
- 1.3 The Point-to-Point Service Fares are inclusive of GST and exclusive of the Rottnest Island Admission Fee and any other government or statutory charges.
- 1.4 From the Control Date, the minimum and maximum fares for Point-to-Point Services are:
- (a) Minimum fare: \$[Minimum at the Control Date]
 - (b) Maximum: \$[Maximum at the Control Date]
- 1.5 The Point-to-Point Service Fares may only increase in accordance with clause 5.2.

2. Commuter Fares

- 2.1 From the Control Date, the price of Commuter Fares will be \$[X] one way.
- 2.2 Commuter Fare pricing is inclusive of GST and exclusive of the Rottnest Island Admission Fee and any other government or statutory charges.
- 2.3 Commuter Fares refer to fares for travel to and from Rottnest Island that are made available to RIA employees and employees and business owners of businesses that operate on Rottnest Island.
- 2.4 The Commuter Fares may only increase in accordance with clause 5.4.

3. Freight Pricing

3.1 From the Control Date, the Freight Pricing will be as follows:

Luggage/Freight Type	Price
Luggage (no larger than 800mm x 500mm x 400mm – maximum 22kgs)	\$3
Bicycle (BYO – maximum 22 kgs, standard pedal bikes only)	\$21
Electric bicycle	\$26
Child and Bike Trailer	\$21
E-scooter (maximum 22 kgs)	\$26
Golf bag or scuba / dive tank / cray pot	\$16
Beach trolley / cart	\$16
Kayak / paddleboard (maximum length 2.7m, maximum weight 22kgs)	\$26
Surfboard	\$16
Parcel or unaccompanied luggage	\$15
Full luggage crate hire	\$125

3.2 Freight Pricing may only increase in accordance with clause 5.4.

3.3 EAG may add additional items to the Freight Pricing. EAG will set the pricing for new freight items in line with similarly sized items set out in, Clause 3.1 of this Schedule 3. EAG will advise the Independent Auditor in writing where new freight items are included in the Freight Pricing. The price for new freight times may only increase in accordance with clause 5.4.

4. Exceptions to CPI Cap

4.1 Clauses 5.2 and 5.4 do not apply to increases in the proportion of the total fare or Freight Pricing charged to end customers that are attributable to:

- (a) increases in the Rottnest Island Admission Fee;
- (b) any changes in government policy; or
- (c) increases in government charges, taxes or levies that EAG is required to impose on the sale of goods and services to customers.

- 4.2 EAG may increase Point-to-Point Service Fares in excess of CPI where EAG's ability to operate the Point-to-Point Services is significantly impacted by events that:
- (a) could not have been reasonably foreseen by EAG; and
 - (b) EAG is not reasonably able to mitigate the impact of the events on its ability to operate the Point-to-Point Services.

5. Temporary price adjustment

- 5.1 Where there is an increase in the monthly average price of fuel per litre in excess of 20% compared to the average monthly price of the previous month (the **Reference Month Price**), EAG may apply a temporary price adjustment to the Point-to-Point Service Fares until such time as fuel prices return to no more than the Reference Month Price (**Temporary Price Adjustment**). EAG must notify the Independent Auditor 2 business days before applying the Temporary Price Adjustment, including by providing the relevant fuel pricing information on which the decision to apply the Temporary Price Adjustment was based.

Schedule 4 Berth Access

1. Access to the Fremantle B Shed Common User Berth

- 1.1 If a third party operator is committed to offering ferry services to Rottnest Island from Fremantle B Shed and there are insufficient berthing slots available at the Common User Berths at Fremantle B Shed, EAG will coordinate with the FPA to relinquish slots currently used by EAG at the Common User Berth.
- 1.2 EAG will not be required to forfeit any slots until such time as the third party operator:
 - (a) has received the necessary licenses and approvals from the RIA and the WA Department of Transport to operate a passenger ferry service to Rottnest Island; and
 - (b) is in a position to begin operating a passenger ferry service to Rottnest Island from the date that EAG relinquishes the slots.
- 1.3 EAG will not be obligated to provide access to berths at Fremantle B Shed that are the subject of lease arrangements between EAG and the FPA (including arrangements assigned to EAG subject to the Proposed Acquisition).

Schedule 5 Approved Independent Auditor form

This form sets out the information required by the ACCC in relation to the proposed appointment of the independent auditor.

Please note in relation to information given in relation to this notice, giving false or misleading information is a serious offence.

1. Method of delivery to the ACCC

The completed Proposed Independent Auditor Notice, along with the additional requested information is to be provided to the ACCC with the subject line "Proposed Independent Auditor Notice – EAG s87B Undertaking" to the below email addresses:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Mergers, Exemptions and Digital Division

With a copy sent to:

Email address: mergersru@accc.gov.au
Attention: Director Remedies Unit
Policy, Coordination and Remedies Branch
Mergers Exemptions and Digital Division

2. Information Required

The ACCC requires the following information in order to assess a Proposed Independent Auditor.

2.1 Proposed Independent Auditor details:

- (a) the name of the Proposed Independent Auditor; and
- (b) the name of the Proposed Independent Auditor's employer and contact details including:
 - (i) address;
 - (ii) contact name;
 - (iii) telephone number; and
 - (iv) other contact details.

2.2 A submission containing the following information:

- (a) details of the Proposed Independent Auditor's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking;
- (b) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Independent Auditor's employer;

- (c) details of any of the following types of relationships between EAG and the Proposed Independent Auditor or the Proposed Independent Auditor's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
- (i) EAG and the Proposed Independent Auditor's employer are Associated Entities;
 - (ii) EAG is an Entity Connected with the Proposed Independent Auditor's employer;
 - (iii) the Proposed Independent Auditor's employer is an Entity Connected with EAG;
 - (iv) EAG and the Proposed Independent Auditor's employer are Related Entities;
 - (v) EAG and the Proposed Independent Auditor's employer are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with EAG is a Related Party, Related Entity or Entity Connected with the Proposed Independent Auditor;
 - (vii) EAG and the Proposed Independent Auditor or the Proposed Independent Auditor's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Independent Auditor's employer is a supplier of EAG or has been in the past three years;
 - (ix) EAG is a supplier of the Proposed Independent Auditor's employer or has been in the past three years; or
 - (x) any other relationship between EAG and the Proposed Independent Auditor or the Proposed Independent Auditor's employer that allows one to affect the business decisions of the other.

2.3 A document outlining the terms of appointment for the Proposed Independent Auditor.

3. Specific Information required for Undertaking Appointments

The ACCC requires the finalised draft audit plan, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's detailed work plan describing how it intends to monitor EAG's compliance with the Undertaking and how it will prepare the plans in regard to the Establishment Audit and the Audit Report.